

One Property: Mortgage, Tax and \$30,000 Paydown Strategy

Texas rental property | Owner lives in Nevada | H-1B taxpayer

Prepared 9 September 2026 | Federal planning estimate

6.8%

30Y

\$30k

Executive verdict

Recommended strategy

Pay the \$30,000 as a principal curtailment and continue the original scheduled P&I; payment of about **\$1,369/month**. This gives the strongest long-term debt reduction: the model shortens the payoff from 30 years to about 20 years 2 months and saves about **\$131,738** of nominal future interest. If monthly cash flow is the priority, request a recast instead; the P&I; would fall to about **\$1,173.47/month**, but lifetime interest savings are much smaller.

\$300,000

Purchase price

\$90,000

Down payment

\$210,000

Original loan

6.80%

Fixed rate

\$1,369.04/mo

Contractual P&I

\$2,800/mo

Rent

\$30,000

Extra principal

\$95,000/yr

Salary

Most important correction: the actual financing terms imply first-year mortgage interest of about **\$14,212**, not \$19,200. That changes the rental tax picture materially. Before insurance, repairs and other unprovided expenses, the stabilized full-year rental is estimated to produce a small taxable profit, not a tax loss.

This report separates three concepts that are often confused: **(1) rental deductions, (2) tax savings/refund, and (3) mortgage principal reduction/recast.**

The one-property fact pattern

Property purchase price	\$300,000
Down payment (30%)	\$90,000
Mortgage principal at closing	\$210,000
Mortgage term	30 years / 360 months
Fixed interest rate	6.80%
Calculated contractual P&I;	\$1,369.04 per month
Approx. first-month interest	\$1,190.00
Approx. first-month scheduled principal	\$179.04
Monthly rent	\$2,800
Annual rent at 12 months occupancy	\$33,600
Property tax	\$2,800 per year
Property management	\$3,800 per year
HOA	\$69 per month / \$828 per year
Known annual non-mortgage operating expenses	\$7,428
Illustrative building allocation	80% building / 20% land

Why the reported \$2,000 monthly mortgage draft needs reconciliation

A \$210,000 fixed loan at 6.8% for 30 years has contractual principal-and-interest of about **\$1,369.04** per month. If the lender drafts about \$2,000, the difference is likely escrow for property tax, landlord insurance, or other charges. **Do not treat the entire \$2,000 as deductible interest.** Use the lender amortization schedule and Form 1098, and avoid counting property tax twice if it is paid through escrow.

The loan balance does not determine depreciation. Paying \$30,000 of principal lowers debt, but it does **not** reduce the property purchase basis or the building depreciation basis.

How rental income is taxed - and what is actually deductible

For a normal long-term residential rental with no personal use, gross rent is reported on **Schedule E (Form 1040)**.

Ordinary and necessary rental expenses are deducted on Schedule E before the net rental income or loss flows into the federal return. This is different from a personal residence deduction on Schedule A.

Item	Treatment	Effect in this case
Rent received	Taxable rental income	About \$33,600 for a full 12-month year
Mortgage interest	Generally deductible rental expense	Use Form 1098 / actual interest; not the full payment
Mortgage principal	Not deductible	Reduces loan balance and increases equity
Property tax	Generally deductible rental expense	\$2,800/year as given
Management fees	Generally deductible rental expense	\$3,800/year as given
HOA fees	Generally deductible if ordinary/necessary for rental	\$828/year as given
Insurance	Generally deductible rental expense	Amount not yet provided
Repairs/maintenance	Generally deductible when ordinary repair	Amount not yet provided
Capital improvements	Generally capitalized, not immediately expensed	Recovered through depreciation as applicable
Depreciation	Non-cash deduction on building, not land	27.5-year GDS for residential rental building

A deduction is not a 100% tax rebate

If \$1 of rental interest is deductible and the marginal federal rate is 22%, the tax reduction is roughly 22 cents - not \$1. The remaining 78 cents is still a real financing cost. Therefore, keeping a 6.8% mortgage merely to preserve the interest deduction is usually uneconomic when surplus cash is available.

Standard deduction interaction: rental expenses on Schedule E are above-the-line business/rental calculations. Your son can generally still use the \$16,100 single standard deduction for 2026; he does not need to itemize personal deductions merely to deduct legitimate rental expenses.

Depreciation: the major non-cash rental deduction

Residential rental **buildings** are generally depreciated under MACRS GDS using straight-line depreciation over 27.5 years with the mid-month convention. **Land is not depreciable.** The 80/20 allocation below is only a planning assumption; the actual allocation should be supported by closing records, appraisal or a reasonable property-tax valuation.

\$240,000

Illustrative building basis

\$60,000

Land basis

\$8,727

Full-year depreciation

\$3,274

Aug 2026 first-year est.

2026 first-year rule

Because the property was bought last month, this report assumes it was **ready and available for rent in August 2026**. IRS Table 2-2d gives a 1.364% first-year percentage for residential rental property placed in service in August. On a \$240,000 building basis, that is about **\$3,274** for 2026. If it was first available for rent in another month, the percentage changes.

For the actual 2026 return, use **actual rent received and actual expenses paid/incurred during the 2026 rental period**. The full-year tables elsewhere in this report are a stabilized 12-month planning view, not a claim that 12 months of rent or expenses occurred in 2026.

Depreciation also has a future consequence: it reduces tax basis. On a later sale, gain attributable to depreciation allowed or allowable can be subject to the special unrecaptured Section 1250 gain rules (potentially up to a 25% federal rate). Failing to claim allowable depreciation does not necessarily avoid the basis reduction.

First-year filing items likely to appear:

Schedule E (Form 1040)	Rental income, interest, taxes, management, HOA/other expense, depreciation
Form 4562	Generally used for depreciation on property placed in service during the year
Form 1098	Lender-reported mortgage interest; reconcile with loan records
Form 8582	May be required if passive rental losses are limited

4. FULL-YEAR TAX VIEW

Stabilized 12-month rental income vs federal income tax

Using the corrected loan math and only the expenses currently known, the rental produces a small taxable profit. Insurance, repairs, leasing costs and other legitimate expenses are not included because amounts were not provided.

Annual rent	\$33,600
Less: first-12-month mortgage interest	(\$14,212)
Less: property tax	(\$2,800)
Less: management	(\$3,800)
Less: HOA	(\$828)
Less: full-year depreciation	(\$8,727)
Estimated taxable rental profit	\$3,233

\$12,070

Federal tax - salary only*

\$12,781

With rental - keep loan*

\$711

Approx. rental tax increase

\$3,233

Unlisted expense break-even

*Illustrative 2026 federal income tax using \$95,000 salary, single filing status, \$16,100 standard deduction and the 22% marginal bracket. It excludes 401(k), HSA, credits, other income/deductions and withholding. The rental adds about **\$711** of federal tax in the stabilized view before unprovided insurance/repairs.

When could a tax loss still occur?

Under the keep-loan case, currently unlisted deductible expenses of more than about **\$3,233** per full year would turn the modeled \$3,233 profit into a loss. Landlord insurance alone may materially change the result. If a net rental loss arises, passive-activity and at-risk rules determine whether it can offset salary immediately.

If the rental becomes a loss: active participation and the \$25,000 allowance

Rental real estate is generally passive. However, an individual who **actively participates** can qualify for a special allowance of up to \$25,000 of rental real estate loss against nonpassive income. Active participation is a lower standard than material participation and can include approving tenants, rental terms, repairs or capital expenditures in a significant and bona fide way.

\$100,000 or less

Full allowance MAGI zone

\$100k-\$150k

Phaseout zone

\$25,000

Maximum special allowance

\$95,000

Salary in this case

At a \$95,000 salary, he is near the full-allowance range, but the exact passive-loss MAGI calculation has special adjustments. A property manager does not automatically defeat active participation if your son retains and actually exercises meaningful management decisions. Losses can also be limited by the at-risk rules.

H-1B tax-residency gate

H-1B immigration status by itself does not determine federal tax residency. The IRS states that an H-1B worker who meets the **Substantial Presence Test** is generally treated as a U.S. resident alien and taxed like a U.S. citizen on worldwide income. This report assumes resident-alien treatment. If he is a nonresident alien for tax purposes, the rental reporting analysis can differ and a CPA familiar with international tax should review it.

State income tax: Nevada and Texas do not impose a personal/individual income tax. Therefore the primary income-tax effect modeled here is federal. Texas property tax remains a real rental expense, and other local taxes/fees may still apply.

\$30,000 principal curtailment: keep payment vs recast

A principal curtailment is a payment directly against unpaid principal. A **recast** is different: after a substantial curtailment, an eligible servicer may re-amortize the lower balance over the remaining term at the existing rate, reducing required monthly P&I.; Recast availability, minimum curtailment, fees and timing are lender/servicer specific.

Metric	Keep loan	\$30k + same P&I	\$30k + recast
Starting balance	\$210,000	\$180,000	\$180,000
Monthly P&I	\$1,369.04	\$1,369.04	\$1,173.47
Payoff horizon	30 yr	20 yr 2 mo	30 yr
Lifetime interest	\$282,855	\$151,117	\$242,448
Interest saved vs keep	-	\$131,738	\$40,408
12-mo interest	\$14,212	\$12,107	\$12,182
12-mo principal via scheduled P&I	\$2,217	\$4,322	\$1,900
Annual cash flow*	\$9,743	\$9,743	\$12,090
Annualized taxable rental result**	\$3,233	\$5,338	\$5,263

*Cash flow shown before landlord insurance, repairs, vacancy and other unprovided costs. **Tax result assumes full-year 27.5-year depreciation and known expenses only.

Remaining loan term after decision

Keep loan		30.0 years
\$30k + same P&I		20.2 years

Nominal future interest from decision point

Keep loan		\$282,855
\$30k + same P&I		\$151,117
\$30k + recast		\$242,448

Why paying principal can increase tax - but still improve wealth

Next 12-month measure	Keep loan	\$30k + same P&I	Difference
Mortgage interest	\$14,212	\$12,107	-\$2,105
Taxable rental profit	\$3,233	\$5,338	\$2,105
Illustrative federal tax attributable to rental	\$711	\$1,174	\$463
Actual interest cost saved	-	\$2,105	\$2,105
After-tax economic benefit	-	\$1,642	\$1,642

The economic logic

The \$30,000 paydown saves about **\$2,105** of interest over the next 12 months in this model. Because the deduction falls, federal tax rises by about **\$463**. The net first-year economic benefit is still about **\$1,642**. The simple after-tax cost of a fully deductible 6.8% mortgage at a 22% marginal rate is about **5.30%**. Keeping debt solely for the deduction means paying roughly 78 cents of real interest to save 22 cents of tax.

Opportunity-cost check

Paying down principal is economically similar to earning approximately **5.30% after tax** on the \$30,000, assuming the interest deduction is fully usable at a 22% marginal rate. If he has a reasonably comparable, low-risk investment expected to earn materially more than that **after tax** and values liquidity, keeping the cash can be rational. Because he has substantial reserves, liquidity is less of a constraint in the fact pattern provided.

Detailed recommendation

Verdict: pay the \$30,000 principal curtailment now, and keep paying the original contractual P&I; of about \$1,369/month rather than recasting - unless monthly cash-flow flexibility is the higher priority.

Why this is preferred	6.8% is a meaningful guaranteed financing cost; the loan is new; he has substantial reserves; early principal reduction avoids many years of interest.
Long-term benefit	Approx. \$131,738 less nominal future interest and payoff in about 20 yr 2 mo instead of 30 years.
Tax tradeoff	About \$463 more federal tax in the next-12-month model because deductible interest falls, but about \$1,642 net after-tax economic benefit remains.
When recast is better	If he wants lower required monthly P&I;: estimated payment falls from \$1,369.04 to \$1,173.47, improving modeled pre-insurance/repair annual cash flow by about \$2,347.
Why not keep mortgage for tax deduction	A deduction reduces taxable income; it does not reimburse the interest dollar-for-dollar.

Action checklist before sending \$30,000

1. Ask the servicer for the current unpaid principal balance and written instructions for a principal-only curtailment.
2. Confirm the loan has no applicable prepayment penalty; the Loan Estimate/Closing Disclosure should disclose any such penalty.
3. Ask whether the loan is eligible for recast, the minimum curtailment, recast fee, waiting period and whether investor approval is required.
4. Obtain the escrow breakdown of the reported \$2,000 monthly draft. Separate P&I;:, property tax, landlord insurance and any other charges.
5. Keep Form 1098, settlement statement, property-tax bill, management statements, HOA statements, lease, repair invoices and insurance records.
6. Document active participation decisions if he wants to preserve eligibility for the special rental-loss allowance should the property generate a loss.
7. Use the actual placed-in-service month and a supportable land/building allocation for Form 4562 depreciation.

What would change the verdict?

The recommendation should be revisited if the mortgage has a significant prepayment penalty, if paying \$30,000 would materially weaken emergency/vacancy reserves, if the interest rate is refinanced much lower, or if he has a demonstrably superior after-tax use for the cash with acceptable risk and liquidity.

Applicable federal rules and primary references

Rental income / Schedule E	IRS Publication 527 (2025), Residential Rental Property; 2025 Schedule E Instructions. Current IRS guidance as of 9 Sep 2026.
Rental expenses	Schedule E instructions permit ordinary/necessary expenses such as taxes, interest, repairs, insurance, management fees, commissions and depreciation.
Mortgage interest vs principal	Pub. 527: mortgage interest can be a rental expense; mortgage/principal payments themselves are not depreciation or an expense deduction.
Depreciation	IRC 167/168 framework as summarized in Pub. 527: residential rental building generally 27.5-year GDS, straight line, mid-month convention; land not depreciable.
Passive rental loss	IRC 469 framework; IRS Publication 925 and Form 8582 instructions: up to \$25,000 special allowance with active participation, subject to MAGI phaseout.
At-risk limitation	IRC 465 framework; Pub. 527/Pub. 925 explain that at-risk limitations can apply before passive-loss rules.
H-1B tax residency	IRS H-1B tax page: generally resident alien treatment if the Substantial Presence Test is met.
2026 federal brackets	IRS IR-2025-103 / Rev. Proc. 2025-32: single standard deduction \$16,100; 22% bracket from taxable income over \$50,400 through \$105,700.
Recast / principal curtailment	Fannie Mae Servicing Guide: a servicer may re-amortize after substantial principal curtailment, using current balance, existing rate and remaining term, subject to eligibility/servicer rules.
Prepayment penalty disclosure	CFPB Regulation Z, 12 CFR 1026.37: Loan Estimate must disclose whether a prepayment penalty applies and relevant details.
Future sale / depreciation	IRS guidance: depreciation reduces basis; gain attributable to allowed/allowable depreciation may be subject to unreaptured Section 1250 gain rules.

Web references

IRS Publication 527: <https://www.irs.gov/publications/p527>

IRS Publication 925: <https://www.irs.gov/publications/p925>

Schedule E instructions: <https://www.irs.gov/instructions/i1040se>

IRS H-1B taxation page: <https://www.irs.gov/individuals/taxation-of-alien-individuals-by-immigration-status-h-1b>

IRS 2026 inflation adjustments:

<https://www.irs.gov/newsroom/irs-releases-tax-inflation-adjustments-for-tax-year-2026-including-amendments-from-the-one-big-beautiful-bill>

Fannie Mae additional principal/recast guidance: <https://servicing-guide.fanniemae.com/svc/c-1.2-01/processing-additional-principal-payments>

CFPB Regulation Z - Loan Estimate/prepayment penalty: <https://www.consumerfinance.gov/rules-policy/regulations/1026/37/>

Nevada Governor Office of Economic Development tax structure: <https://goed.nv.gov/>

Texas Comptroller / Governor economic resources: <https://comptroller.texas.gov/> and <https://gov.texas.gov/>

Professional review recommended

This is a planning report, not a tax return, legal opinion or lender commitment. A CPA or enrolled agent should confirm H-1B tax residency, actual Schedule E expenses, passive-loss treatment, depreciation basis and first-year convention. The mortgage servicer should confirm principal-curtailment and recast mechanics.